

TENTATIVE RULINGS

DEPT. C-16
(657-622-5216)

Judge David A. Hoffer
September 25, 2023

These are the Court's tentative rulings. They may become orders if the parties do not appear at the hearing. The Court also might make a different order at the hearing. (*Lewis v. Fletcher Jones Motor Cars, Inc.* (2012) 205 Cal.App.4th 436, 442, fn. 1.)

If a party intends to submit on the Court's tentative ruling, please call the Court Clerk to inform the court. If both parties submit, the tentative ruling will then become the order of the Court.

APPEARANCES: Department C16 conducts non-evidentiary proceedings, such as law and motion, remotely by Zoom videoconference. All counsel and self-represented parties appearing for such hearings should check-in online through the Court's civil video appearance website at <https://www.occourts.org/media-relations/civil.html> prior to the commencement of their hearing. Once the online check-in is completed, participants will be prompted to join the courtroom's Zoom hearing session. Check-in instructions and an instructional video are available on the court's website. All remote video participants shall comply with the Court's "Appearance Procedures and Information--Civil Unlimited and Complex" and "Guidelines for Remote Appearances" also posted online at <https://www.occourts.org/media-relations/aci.html>. A party choosing to appear in person can do so by appearing in the courtroom on the date/time of the initial appearance.

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- Civil Court Reporter Pooling; and
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#	Case Name	Tentative
1	30-2018-01020192 Shiokari vs. Shiokari	Before the court are the following motions: (1) motion to direct the court-appointed Receiver, Stephen J. Donell ("Receiver") to refrain from selling June Lake Condominium filed by Plaintiffs Nobuko Shiokari and Kenneth Shiokari (collectively "Plaintiffs"); (2) motion of Receiver for an order authorizing Receiver to sell real property and confirming sale of 319 Lemon Creek Drive and 20241 Valley Blvd. in

		Walnut (“Walnut Property”); (3) motion of Receiver for an order authorizing Receiver to sell real property and confirming sale of 16650 S. Harbor Blvd. in Fountain Valley (“Fountain Valley Property”); (4) motion for joinder in Receiver’s motion to confirm sale of Fountain Valley Property filed by Wind Water, Inc. (“Wind Water”); and (5) request to conduct overbid procedure pursuant to C.C.P. § 701.550, et seq., filed by RMG Group, L.P. and John Gupta (collectively “RMG”). Plaintiffs’ motion, the Receiver’s sale confirmation motions, and the motion for joinder are GRANTED. RMG’s request for an overbid procedure is DENIED. <u>Plaintiffs’ Motion</u> Plaintiffs seek an order directing the Receiver to refrain from selling the June Lake Condominium (“June Lake Condo”) owned by The Tomko Limited Partnership (“Tomko”), which Plaintiffs state is a cherished family vacation home. The court has “broad discretion” and “full power” to order the Receiver to manage the property “for the best interest of the parties concerned.” (See <i>Hillman v. Stults</i> (1968), 263 Cal.App.2d 848, 876; <i>People v. Riverside Univ.</i> (1973) 35 Cal.App.3d 572, 583.) In lieu of a public sale, Plaintiffs propose that the Court direct the Receiver to include the June Lake Condo in his final accounting and reconciliation of accounts as between Tomko’s partners, which means applying the 15% interest in said property owned by defendant David Shiokari (“David”) to the judgment entered against David and in favor of Tomko on September 8, 2020. Given it appears no party is objecting to Plaintiffs’ request, the Court finds Plaintiffs’ request to be reasonable and for the best interest of the parties concerned. The motion is thus GRANTED. Counsel for Plaintiffs is to prepare a proposed order and is to give notice of this ruling. <u>Motions Regarding Walnut Property and Fountain Valley Property</u> If authorized by court order, receivers may sell any property in their possession, although the sale is not final until confirmed by the court. (Code Civ. Proc., §§ 568, 568.5.) Confirmation will generally be granted if it is shown that the sale was necessary for the estate, and fair to the respective
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		parties. (<i>Cal-American Income Property Fund VII v. Brown Develop. Corp.</i> (1982) 138 Cal.App.3d 268, 274; <i>People v. Stark</i> (2005) 131 Cal.App.4th 184, 202.) A court has the power to approve or ratify a sale conducted in a manner different from the specified statutory procedure. (<i>People v. Riverside Univ.</i> (1973) 35 Cal.App.3d 572, 582-583.) Where there is no evidence of fraud, unfairness or oppression in the sale, the court has wide discretion in confirming a judicial sale. (<i>Id.</i> at 582.) “[U]nless regulated by statute, the court has full power to order the receiver to dispose of property in such a manner as the court may deem to be for the best interest of the parties concerned and the advice of the receiver and his opinion in regard to the value of the property, the manner, time and place of its disposition are entitled to great respect and weight.” (<i>Id.</i> at 583.) Here, the Receiver, Plaintiffs and the proposed buyers for the properties, Arcadia Town Center, LLC and Wind Water, submit that confirming the sale of the properties to said buyers is in the best interests of the parties concerned and the Receivership estate, while RMG argues that allowing an overbid process for the properties is in the best interest of the Receivership estate. The Court has reviewed the arguments and evidence presented and determines that a sale of the subject properties on the terms proposed by the Receiver is appropriate under the circumstances. The Receiver provides sufficient justification for accepting the respective offers on both properties and for recommending against an overbid process. With respect to the Walnut Property, RMG never submitted an offer or participated in the bidding process for said property. They vaguely state they are interested in purchasing the property and want to participate in any overbidding process, but they offer no evidence to demonstrate that any offer they submit would be in the best interests of the Receivership estate. All evidence submitted regarding their financials and communications with the Receiver’s broker is in connection with their offer to purchase the Fountain Valley Property. Further, as reflected in the Receiver’s motion, the Walnut Property was extensively marketed, numerous offers were received, and Arcadia Town Center, LLC’s offer was by far the highest offer made and well above the listing price. Thus, an overbid procedure does not appear necessary here
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		when considering both fairness to the parties and benefit to the Receivership estate. With respect to the Fountain Valley Property, RMG had an opportunity to submit an offer for the property and they chose to submit an offer well below asking price. While they argue they reasonably relied on advertising materials and communications that “strongly suggested overbids would be allowed,” nothing prevented them from submitting a higher offer at any time during the bidding process. Moreover, the Receiver’s broker informed RMG’s agent that the Receiver “is not sure if there will be an overbid process yet.” (Schechter Declaration in Support of Receiver’s Consolidated Reply, Ex. 3 [Email dated May 31, 2023].) Thus, RMG was on notice that an overbid process would potentially not occur. Further, Wind Water has expended substantial resources in reliance on the Purchase Agreement, which does not contain any provision contemplating an overbid procedure. (See Ex. B to Receiver’s Motion at ROA 1040; <i>see also</i>, ROA 1105.) Overall, the Court finds the equities do not weigh in favor of an overbid procedure. Additionally, as reflected in the Receiver’s motion and Consolidated Reply, the Fountain Valley Property was extensively marketed, with the Receiver’s broker fielding dozens of inquiries regarding a potential transaction. Contrary to RMG’s contention, the marketing efforts appear substantial. (See Michaels Declaration in Support of Receiver’s Motion, ¶¶ 3-4, and Exhibits E-F thereto [ROA 1040]; Schechter Declaration in Support of Receiver’s Consolidated Reply.) An overbid procedure thus does not appear necessary here when considering both fairness to the parties and benefit to the Receivership estate. RMG also failed to address the Receiver’s contention that RMG would need to close by October 15, 2023, due to their 1031 exchange, which is sooner than the Receiver states he is able to complete the transaction. In addition, with respect to both properties, there is no evidence of fraud, unfairness or oppression in the sales. Accordingly, the Receiver’s sale confirmation motions are GRANTED. Wind Water’s motion for joinder is GRANTED. RMG’s request for an overbid procedure for the properties is DENIED.
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		Counsel for the Receiver is to submit proposed orders and is to give notice of these rulings.
2	30-2021-01214897 Veliz vs. Hyundai Motor America	Off Calendar
3	30-2021-01229674 Steichen vs. Joseph-Brown	A) Demurrers to Second Amended Complaint (“SAC”) Before the court are two demurrers to plaintiff David Steichen’s (“Plaintiff”) Second Amended Complaint (“SAC”). Though the demurrers were filed separately by defendants Bradley David Hatfield, M.D., (“Hatfield” individually) and Ahmed Badr, M.D. (“Defendants” with Hatfield for purposes of this ruling), they are both based upon the same argument that the allegations against Defendants are barred by the applicable statute of limitations. As such, the arguments and oppositions are essentially identical and the court will issue a combined ruling as to both Defendants’ demurrers. Pursuant to Civ. Proc. Code §§ 430.10(e) and 340.5, both demurrers are SUSTAINED without leave to amend. “A complaint showing on its face the cause of action is barred by the statute of limitations is subject to general demurrer.” (<i>Iverson, Yoakum, Papiano & Hatch v. Berwald</i> (1999) 76 Cal. App. 4th 990, 995.) “In an action for injury or death against a health care provider based upon such person's alleged professional negligence, the time for the commencement of action shall be three years after the date of injury or one year after the plaintiff discovers, or through the use of reasonable diligence should have discovered, the injury, whichever occurs first. . .” (Civ. Proc. Code § 340.5.) Plaintiff received emergency surgery to remove/treat purported colon cancer on 09/11/20. (SAC ¶ 2.) Plaintiff became aware of the misdiagnosis of colon cancer in March 2021. (SAC ¶ 10.) Plaintiff therefore had one-year from March 2021 (the lesser of the two limitation periods) to file his complaint in this action. Plaintiff’s initial complaint was timely filed on 11/02/21. Plaintiff added Defendants to this action on 02/08/23. (ROA #118.)

		The original complaint importantly did not contain any allegations as to Defendants, nor did it contain any DOE allegations. Defendants were only added to this lawsuit following an unopposed motion for leave amend to add <i>new</i> defendants to this action that was made pursuant to Code Civ. Proc. §§ 473 and 576. That motion was filed on 01/18/23. (ROA #91.) Plaintiff was granted leave and filed his First Amended Complaint on 02/08/23. Both the motion and the amended complaint were filed after the limitation period had expired. Plaintiff’s failure to add DOE allegations in the original complaint means that Defendants were not DOE defendants, and instead could only be added as <i>new</i> defendants. (Civ. Proc. Code § 474.) As such, their addition does not relate back to the time of the filing of the original complaint. (<i>Fireman's Fund Ins. Co. v. Sparks Constr., Inc.</i> (2004) 114 Cal. App. 4th 1135, 1143-44; <i>Ingram v. Superior Ct.</i> (1979) 98 Cal. App. 3d 483, 492.) “The effect of the proposed amendment thus would be to name a new party without justifiable cause after the statute has run. The straightforward rule is that amendment after the statute of limitations has run will not be permitted when the result is the addition of a party who, up to the time of the proposed amendment, was neither a named nor a fictitiously designated party to the proceeding.” (<i>Id.</i>, at 491-92.) No limitation period argument was made at the time of the motion to amend, which again, was unopposed. Although Plaintiff attempts to claim delayed discovery tolled the statute of limitations period, that is not the case. “Our Supreme Court has often discussed the one-year rule's requirement of discovery of the negligent cause of injury. When a plaintiff has information which would put a reasonable person on inquiry, when a plaintiff's “reasonably founded suspicions [have been] aroused” and the plaintiff has “become alerted to the necessity for investigation and pursuit of her remedies,” the one-year period commences. “Possession of 'presumptive' as well as 'actual' knowledge will commence the running of the statute.” [Citations.] The plaintiff's ignorance of the identity of the defendant wrongdoer does not toll the one-year period. [Citation.][¶] “Under the discovery rule, the statute of limitations begins to run when the plaintiff suspects or should suspect that her injury was caused by wrongdoing, that someone has done
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		something wrong to her. ... A plaintiff need not be aware of the specific 'facts' necessary to establish the claim [such as failure to test, failure to warn, failure to diagnose]; that is a process contemplated by pretrial discovery. Once the plaintiff has a suspicion of wrongdoing, and therefore an incentive to sue, she must decide whether to file suit or sit on her rights. So long as a suspicion exists, it is clear that the plaintiff must go find the facts; she cannot wait for the facts to find her.” (<i>Rose v. Fife</i> (1989) 207 Cal. App. 3d 760, 768–69.) As the statute of limitation ran out in March 2022, and as the FAC was not filed until 02/08/23, the addition of Defendants was after the limitation period. The demurrers are therefore proper. Finally, as Plaintiff has not shown with a reasonably probability that he can plead around the statute of limitations, leave to amend is not granted. (<i>San Mateo Union High Sch. Dist. v. Cnty. of San Mateo</i> (2013) 213 Cal. App. 4th 418, 441.) Both demurrers are, therefore, sustained. B) Motion to Strike Hatfield’s Motion to Strike is MOOT. Plaintiff filed a notice of non-opposition/stipulation indicating he agreed to strike out the language at issues in the SAC. (ROA #231.) Moving parties are to give notice of these rulings and to file proposed orders with the court.
4	30-2021-01233370 Nguyen vs. National General Premier Insurance Company	Off Calendar
5	30-2022-01242882 Taylor vs. General Motors LLC	Defendant General Motors LLC’s (“Defendant”) Motion for Summary Judgment or, alternative, for Summary Adjudication (“Motion”) is DENIED without prejudice. All of the evidence produced in support of this Motion was attached to the declaration of Cameron Major (“Major”). The only “authentication” Major provides regarding each of the eight documents produced in support of the Motion was that he had “personal knowledge of the facts set forth below and,

		if called to testify, could and would testify competently to them” and that the documents are “true and correct copies” of what they are purported to be. This is simply not sufficient to authenticate these documents. (Evid. Code § 1401(a); <i>Cont'l Baking Co. v. Katz</i> (1968) 68 Cal. 2d 512, 525–26.) Major’s declaration also shows a lack of personal knowledge regarding the authenticity of the documents. (Evid. Code § 702.) Major states that he has personal knowledge as he is Defendant’s counsel of record. (Reply, 4:14-17.) However, being Defendant’s counsel does not impart personal knowledge of the authenticity of records. For example, the Retail Installment Sales Contract (“Contract”) that purports to show the Vehicle was sold used is from Buena Park Honda. (Major Decl., Ex. A.) Buena Park Honda is not a party to this lawsuit, nor is it part of GM wherein GM or its counsel <i>might</i> have knowledge of the veracity of the document or be able to authenticate it. Plaintiff did not attached a copy of the Contract to the Complaint, and Defendant did not explain how it came by the document. There are no additional declarations by a custodian of records, evidence the documents were produced by Plaintiff in response to discovery requests, or any other form of authentication. For Major to have personal knowledge of the authenticity of the document, he would have had to been present at the time the Contract was entered into, which Major has not testified to. The same analysis applies to all of the other documents attached to Major’s declaration. As the documents have not been properly authenticated, Defendant has failed to produce evidence in support of the Motion. Without supporting evidence, Defendant has not met its initial burden under Civ. Proc. Code § 437c. The Motion is denied without prejudice. Plaintiffs objections: Sustained as to Nos. 1 – 7 (lack foundation, authentication, lacks personal knowledge). Defendant is ordered to give notice of this ruling.
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6	30-2022-01266721 The Moad Group, Inc vs. GP DEV, LLC	Before the Court are two Motions to Compel, filed by Defendant RV Dev LLC (“Defendant”) on 5/16/23. The Motion filed as ROA 103 is directed to Plaintiff Bren Development and Investments LLC (“BDI”), and concerns Request for Production (“RFP”) Nos. 11-15 (“Motion 1” below). The Motion filed as ROA 99 is directed to Plaintiff The Moad Group, Inc. (“TMG”) and concerns RFP Nos. 11 and 13 (“Motion 2” below). As a preliminary matter, Plaintiffs do not appear to have adequately met and conferred with Defendant to attempt to resolve this dispute, Specifically, it appears from the Opposition that: (a) Plaintiffs are asserting that they were obligated under the “agreement” at issue to fund only the first and second deposits under the two relevant purchase and sale agreements, in the maximum total sum of \$600,000; (b) Plaintiffs are not asserting that they personally had sufficient resources to fund those first and second deposits: they instead are asserting only that they had third party investors available who were willing to do so; and (c) Plaintiffs are representing that they have already produced the entirety of the documentary evidence upon which they will rely to support their claim that they were “willing, able and ready to perform” under that “agreement.” Yet Defendants’ Reply states that a stipulation along these lines was rejected. If Plaintiffs are indeed taking these positions, it would appear that a stipulation to that effect would have resolved this dispute. The court requests that the parties inform the court prior to the hearing if the parties reach a stipulation that resolves this dispute. The court will then take the matter off calendar. In any event, as no such stipulation has been presented, the Court has ruled upon the Motions as follows. <u>On Motion 1</u>, the Motion is GRANTED IN PART. Plaintiffs have objected to the discovery at issue based on financial privacy interests. Where privacy rights are asserted in discovery, the party asserting a privacy right must establish
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		a legally protected privacy interest, an objectively reasonable expectation of privacy in the given circumstances, and a threatened intrusion that is serious. The party seeking information may raise in response whatever legitimate and important countervailing interests disclosure serves, while the party seeking protection may identify feasible alternatives that serve the same interests or protective measures that would diminish the loss of privacy. A court must then balance these competing considerations. (<i>Williams v. Superior Court</i> (2017) 3 Cal.5th 531, 552, citing <i>Hill v. National Collegiate Athletic Assn.</i> (1994) 7 Cal.4th 1, 35.) Here, Plaintiffs have identified a legally protected privacy interest in their financial information, and have shown a threatened intrusion that is serious. But to the extent that they are basing their claims on their own financial resources, they have not shown an objectively reasonable expectation of financial privacy for the period at issue. Absent a stipulation that they are not basing their claimed ability to perform on their own financial resources, Plaintiffs have put their financial ability to perform directly at issue. Defendant thus has a legitimate and important countervailing interest in the material at issue. And as there is a Protective Order in place (ROA 27), protective measures are already in place to diminish the potential loss of privacy. However, as the definition for “YOU” in the RFPs includes BDI’s “employees and Steven Bren,” the RFPs are effectively attempting to include a demand for individual non-party consumer information therein. To the extent that the RFPs at issue purport to extend to those non-parties, the Motion is DENIED. The Motion is otherwise GRANTED IN PART as to RFP No. 11. BDI must produce responsive documents for all sources of capital or funding upon which it relies in asserting that it was ready, willing, and able to perform, except to the extent that the RFP potentially extends to Plaintiffs’ tax records. The Motion is DENIED as to RFP Nos. 13 and 15, as Defendant has not shown why Plaintiff’s tax records are essential to Defendant’s discovery efforts. The Motion is GRANTED as to RFP Nos. 12 and 14, for the years 2020 and 2021, but DENIED for the year 2019 as
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		Defendant has not shown an important countervailing interest in records for that period. On <u>Motion 2</u>, to the extent that the RFPs at issue purport to extend to non-parties, the Motion is DENIED. Otherwise, for the reasons discussed above, the Motion is GRANTED as to RFP No. 11, except to the extent that it potentially extends to Plaintiffs’ tax records, but DENIED as to RFP No. 13. Defendant’s evidentiary objections, filed as ROA 141, are SUSTAINED [lack of foundation, best evidence, hearsay]. Plaintiffs are to provide verified supplemental responses in accordance with the foregoing rulings, along with a further production for any remaining responsive non-privileged documents, within 25 days after service of notice of these rulings. Counsel for Defendant is ordered to give notice of this ruling.
7	30-2022-01291617 Johnson vs. Bruns	The Demurrer to the Verified Shareholder Derivative Complaint filed by Defendant Kendal Bruns, erroneously sued as Kendall Bruns (“Defendant”) is SUSTAINED with 20-days leave to amend as to the fifth cause of action and OVERRULED as to all other causes of action. Defendant demurs generally to the entire complaint based on Corporations Code § 800(b)(2) and Plaintiff’s failure to bring his demands to the board. Corporations Code § 800(b)(2) provides that plaintiff must alleges with particularity “plaintiff’s efforts to secure from the board such action as plaintiff desires, or the reasons for not making such effort.” To evaluate a demand futility claim in a shareholder derivative action, court must be apprised of facts specific to each director from which it can conclude that that particular director could or could not be expected to fairly evaluate claims of shareholder. (<i>Shields v. Singleton</i> (1993) 15 Cal.App.4th 1611.) Here, Plaintiff alleges he made no demand on the board “for the reason that such a demand would be futile in that there are only two directors and two co-equal shareholders, and Defendant Bruns knew of and participated in the wrongs alleged in this Complaint.” (Complaint ¶ 6.) Plaintiff has sufficiently pled futility in bringing his demand to the board, as the only two

		shareholders are Plaintiff and Defendant Bruns. As such, the general demurrer is OVERRULED. First Cause of Action- Breach of Fiduciary Duty Defendant demurs to the first cause of action, arguing the Complaint does not allege a breach of a fiduciary duty and only alleges in conclusory terms that such a relationship existed. However, the complaint alleges that Defendant is a director of KBNJ, Inc., a California corporation in which he was also a 50% shareholder (Complaint ¶ 32, 16.) Corporations Code § 309(a) establishes the fiduciary obligations of a corporate director: “A director shall perform the duties of a director, including duties as a member of any committee of the board upon which the director may serve, in good faith, in a manner such director believes to be in the best interests of the corporation and its shareholders and with such care, including reasonable inquiry, as an ordinarily prudent person in a like position would use under similar circumstances.” The Complaint alleges Defendant withdrew money from KBNJ, Inc. for himself beyond reimbursement, “stole KBNJ’s tools and equipment,” and compromised KBNJ’s ability to pay its bills and expenses. (Complaint ¶¶ 34-38.) The complaint sufficiently alleges breach of Defendant’s fiduciary duty as a corporate director. As such the demurrer to the first cause of action is OVERRULED. Second Cause of Action- Unjust Enrichment As to the second cause of action for unjust enrichment, Plaintiff must plead receipt of a benefit and unjust retention of the benefit at the expense of another. (See <i>Lectrodryer v. SeoulBank</i> (2000) 77 Cal.App.4th 732, 726.) Defendant asserts that unjust enrichment is not a cause of action, but rather a remedy. “Generally, one who is unjustly enriched at the expense of another is required to make restitution. (<i>First Nationwide</i>, 11 Cal.App.4th at p. 1662, 15 Cal.Rptr.2d 173; see also Rest.3d Restitution and Unjust Enrichment, § 1.)” (<i>Professional Tax Appeal v. Kennedy-Wilson Holding, Inc.</i> (2018) 29 Cal.App.5th 230, 238.) The Complaint alleges that Defendant took money he was not entitled to and is in receipt of “benefits and unjust retention of benefits at the expense of KBNJ” including the seized tools. (Complaint ¶¶ 41-42.) The cause of action for unjust enrichment is therefore adequately pled and the demurrer is OVERRULED.
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		Third Cause of Action- Abuse of Control and Fourth Cause of Action- Gross Mismanagement Defendant argues that these causes of action are vague and ambiguous and do not assert that Defendant has committed “persistent and pervasive” fraud, mismanagement or abuse of authority or persistent unfairness toward any shareholder; or the corporation's property is being misapplied or wasted by its directors or officers. (Corps. Code § 1800(b)(4); <i>Buss v. J.O. Martin Co.</i> (1966) 241 Cal.App.2d 123, 134-135.) Defendant argues that the allegations of abuse of control and mismanagement fail because Bruns is a 50% shareholder, but provides no legal authority for this position. Defendant asserts Plaintiff has not alleged actions resulting in damage or how the actions had no rational business purpose. The allegations throughout the complaint, and adopted into the third and fourth causes of action, allege Defendant engaged in “a fraudulent scheme” where he would reimburse himself without accounting for the cash he kept, looting the bank account and collected cash, and taking tools despite their purchase being reimbursed by the business. (Complaint ¶¶ 20-27.) As such, the Complaint asserts “persistent and pervasive” fraud, mismanagement or abuse of authority. As such the demurrer to the third and fourth causes of action are OVERRULED. Fifth Cause of Action- Corporate Waste While listed in the caption of the complaint, no fifth cause of action is pled in the body of the Complaint and the causes of action jump from the fourth to the sixth. As such the demurrer to the fifth cause of action is SUSTAINED with 20-days leave to amend. Sixth Cause of Action- Violation of Business and Professions Code § 17200 et seq. (Unfair Competition Law or “UCL”) Defendant argues that there are no allegations that his conduct was immoral, unethical, or otherwise substantially injurious to customers or Plaintiff. Defendant again relies on his position that the claim is without merit because he is a 50% shareholder of the corporation but, again, provides no legal basis for this claim. Further, the Complaint alleges that Defendant's acts were “unfair and fraudulent”, in that he took over \$200,000 in unwarranted distributions without
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		accounting and stole tools from the business without permission of the other 50% shareholder. As such, the claim for violation of the UCL is sufficiently pled and the demurrer is OVERRULED. Seventh Cause of Action- Theft under Penal Code § 496 Defendant cites to the elements of theft and a description of the crime of theft, only to reach the conclusion that “such conclusory allegation fails as to BRUNS” with no further argument or elaboration. The Complaint alleges Defendant “took tools and equipment outside the scope of Plaintiff’s permission”, that the “theft of tools and equipment was not permitted or consented to by Plaintiff KBNJ, Inc.” and that Defendant also “took money belong [sic] to the corporation”. These are not conclusory allegations, but rather factual allegations supporting Plaintiff’s assertion of a cause of action for theft under Penal Code § 496. Accordingly, the demurrer is OVERRULED. Ninth Cause of Action- Declaratory Relief “To qualify for declaratory relief, [a party] would have to demonstrate its action presented two essential elements: ‘(a) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions related to [the party’s] rights or obligations.’” (<i>Jolley v. Chase Home Finance, LLC</i> (2013) 213 Cal.App.4th 872, 909, quoting <i>Wilson & Wilson v. City Council of Redwood City</i>, (2011) 191 Cal.App.4th 1559, 1582). Defendant asserts that here, the controversy as to any money taken by Defendant is not ripe, however Defendant does not elaborate on this position. As such, the demurrer is OVERRULED. Moving party is ordered to give notice of this ruling.
8	30-2022-01281322 Bruns vs. Johnson	Case Management Conference Only
9	30-2022-01295439 Hensley Electric, Inc. vs. RND Genetics, LLC	The Opposition by judgment creditor Hensley Electric, Inc. to the Claim of Exemption filed by judgment debtor Richard Santos is DENIED. Here, debtor Richard Santos is making a claim of exemption under CCP §706.051. Pursuant to Code of Civil Procedure section 706.105, subdivision (a), a Judgment Debtor may

		claim an exemption under section 706.051 where, as here, there has been no prior hearing with respect to an earnings withholding order. (Code of Civ. Proc., §706.105, subd. (a)(1).) A claim of exemption is made by filing with the levying officer a claim of exemption and a financial statement. (Code Civ. Proc., §706.105, subd. (b).) A Judgment Creditor who wishes to contest the claim of exemption, must file a notice of opposition to the claim of exemption, within 10-days of service, by the levying officer, of the notice of claim of exemption. (Code Civ. Proc., §706.105, subd. (d)). Likewise, a “notice of motion for an order determining the claim of exemption” must be filed with the court within the same time period, i.e. “within 10 days after the date the levying officer mailed the notice of claim of exemption.” (Code Civ. Proc., §706.105, subd. (e)). (This 10-day period is not extended where the claim of exemption was served by mail; see CCP § 684.310 and Comment to CCP § 706.105.) Here, the Claim of Exemption was signed by the Judgment Debtor on July 7, 2023. (Exh. 2 to Opposition) Per Exhibit 2 to the Notice of Opposition, the Notice of Filing of Claim of Exemption was mailed to counsel for the Judgment Creditor on 7/12/23. The mandatory Notice of Opposition and Notice of Hearing were not filed until 7/31/23, which is untimely pursuant to CCP §706.105(e). (ROA Nos. 43 and 44.) In his supplemental papers, the judgment creditor, while conceding that the Notice contained the statutes related to wage garnishment, claims, without any authority, that this matter was actually a bank levy, not a wage garnishment, and, thus, an additional ten days is permitted for filing. (Code of Civil Procedure §§ 703.550(a), 684.120(b)). The court does not agree as claims of exemption are statute bound and levying officers need to know when to release the funds to the debtor. Forcing the levying officer to analyze the papers to determine which of perhaps several exemption statutes actually apply would create situations just like this one – where funds were released to the debtor and need to be recovered by special court orders. Here, the judgment creditor had a remedy of simply taking the claim of exemption at face value and responding to it within the time frame relevant to the statutes claimed (perhaps pointing out that the funds held are actually a bank levy). Given the fact that the levying officer is going to respond based on the
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		claimed statutes, the judgment creditor fails to do so at its peril. Accordingly, Judgment Creditor's notices are untimely and pursuant to the authority stated above, there can be no claim of exemption hearing. The hearing on Judgment Creditors' opposition to Debtor Richard Santos' claim of exemption is denied. As Hensley states that the money levied from the Kinecta account has been distributed to Santos, the Court makes no further order regarding the levying officer or disposition of the funds. Debtor Richard Santos is ordered to give notice.
10	30-2023-01300343 Villa vs. General Motors, LLC	Plaintiff Manuel Villa's motion to compel the deposition of defendant General Motor's person(s) most knowledgeable is GRANTED. The deposition categories and requests for production of documents shall be consistent with the court's Case Management Conference Order dated 02/17/23. (ROA 20.) As noted in the Case Management Conference Order, a party may seek to modify and/or delete any of these orders, via noticed motion, upon showing of good cause. The deposition shall take place on a mutually agreeable date, time and location, no later than 40 days from the date of this order. The parties may stipulate in writing to a date beyond 40 days. Plaintiff's request for sanctions is GRANTED in the amount of \$625 (1 hr. at \$565/hr, plus \$60 mtn fee) to be paid within 60 days' notice of this ruling. Moving Party is ordered to give notice of this ruling.
11	30-2023-01303813 Orosco vs. Heydari	<u>I. Demurrer</u> The Demurrer to the Complaint filed by Defendant Atefah Heydari ("Defendant") is SUSTAINED with 20-days leave to amend as to the second, third, fourth, fifth, and sixth causes of action, and OVERRULED as to the first cause of action. Cause of Action 1: Breach of Contract

		Defendant demurs to the breach of contract cause of action on the grounds it is unclear as to what the agreement requires from the parties, what the terms were, who the parties were, and what was to be performed by the parties. Defendant contends that Plaintiff's failure to specify the terms of the contract creates ambiguity as to what the agreement entails, making it difficult for Defendant to ascertain what the claims are as against Defendant and thus the claim is uncertain and unintelligible. A demurrer for uncertainty is not intended to reach the failure to incorporate sufficient facts in the pleading, but is directed at the uncertainty existing in the allegations actually made. (<i>People v. Lim</i> (1941) 18 Cal.2d 872, 883.) A demurrer for uncertainty is strictly construed, even where a complaint is in some respects uncertain, because ambiguities can be clarified under modern discovery procedures." (<i>Khoury v. Maly's of California, Inc.</i> (1993) 14 Cal.App.4th 612, 616.) Errors and confusion created by "the inept pleader" are to be forgiven if the pleading contains sufficient facts entitling plaintiff to relief. (<i>Saunders v. Cariss</i> (1990) 224 Cal.App.3d 905, 908.) A demurrer for uncertainty should be overruled if the facts are presumptively within defendant's knowledge. (<i>Khoury v. Maly's of California, Inc., supra</i>, 14 Cal.App.4th at p. 616.) The Complaint alleges that Defendant HEYDARI is doing business as a sole proprietor under the fictitious name "Elite Auto Service;" that Plaintiff visited Elite Auto Service on or about October 13, 2021 and met with "Mike who was working the front desk at Elite Auto Service's place of business;" that "Mike" is the fictitious name of one of the Doe Defendants; that Plaintiff believed Mike to be owner of Elite Auto Service; that Plaintiff believed Elite Auto Business to be an actual company; that Mike and Plaintiff discussed selling Plaintiff's 2004 Porsche Cayenne Turbo and installing Plaintiff's high-performance engine into his 1998 Ford Mustang Cobra; and the "discussion culminated in an agreement for Elite Auto Service to install the Engine into the Mustang in exchange for the Cayenne as payment to Elite Auto Service;" that the terms of this agreement were manifested verbally and by a catalog of mobile phone text messages; that Plaintiff visited Elite Auto Service to inquire about the status of the work over the course of the next 12 months but was met with excuses as to the unfinished work; that on or about October 5, 2022, Elite Auto Service
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	informed Plaintiff that the engine installation into the Mustang was complete but this was misleading because it was not installed correctly and the engine was damaged in the process; that Elite Auto Service breached the agreement by not performing any of the work in a reasonable amount of time, by selling the Cayenne prior to complete installation of the engine into the Mustang, by damaging the engine and Mustang, and by misrepresentations; and that Plaintiff was harmed as a result. (See Complaint, ¶¶ 3, 4, 8, 9, 13, 17, 18, and 22.) Here, the cause of action, though no model of clarity, is not so unintelligible that Defendant cannot reasonably respond. Any ambiguities can be clarified through discovery. (<i>Lickiss v. Financial Industry Regulatory Authority</i> (2012) 208 Cal.App.4th 1125, 1135; <i>Khoury, supra</i>, 14 Cal.App.4th at 616.) Further, the contract is alleged to be oral. (See Complaint, ¶ 8.) “An oral contract may be pleaded generally as to its effect, because it is rarely possible to allege the exact words. (<i>Khoury, supra</i>, 14 Cal.App.4th at 616.) “The rules of pleading require, with limited exceptions not applicable here, only general allegations of ultimate fact.” (<i>McKell v. Washington Mut., Inc.</i> (2006) 142 Cal.App.4th 1457, 1469.) “The plaintiff need not plead evidentiary facts supporting the allegation of ultimate fact.” <i>Id.</i> “A pleading is adequate so long as it apprises the defendant of the factual basis for the plaintiff’s claim. [citations omitted.]” (<i>Id.</i> at 1470.) Since the complaint satisfies these requirements, the demurrer to the 1st cause of action for breach of contract is OVERRULED. Cause of Action 2: Promissory Fraud Per CACI 1902, a false promise (or promissory fraud) claim requires that Defendant made a promise to plaintiff that defendant did not intend to perform when the promise was made, that defendant intended plaintiff to rely on this promise, that plaintiff did rely on the promise, that defendant did not perform the promised act, that plaintiff was harmed, and that plaintiff’s reliance on the promise was a substantial factor in causing plaintiff’s harm. Here, Plaintiff asserts that the alleged misrepresentations were that “Elite Auto Service is a company where Mike was the owner” and “Elite Auto
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		Service would perform the work correctly, legally, and in a reasonable amount of time.” (Complaint ¶ 24.) The representation that Mike owned Elite Auto Service was not a promise made to Plaintiff that could be performed or not performed. While it would be a misrepresentation, it is not grounds for a promissory fraud claim. As to the allegation that there was a promise that the work would be performed “correctly, legally, and in a reasonable amount of time,” Plaintiff asserts his reliance was reasonable because this term was implied. (Complaint ¶ 26.) The allegations of the complaint do not indicate that this was a promise actually made by any Defendant to Plaintiff. As such the demurrer to the second cause of action is SUSTAINED with leave to amend. Cause of Action 3: Conversion Defendant demurs to the conversion cause of action on the ground that it is an improper attempt to spin a defective contract claim into a tort claim; that Plaintiff has failed to plead that he owns the Porsche or has a right to possess the Porsche; and there can be no “conversion” when Plaintiff alleges he provided the Porsche to Defendant as payment for the installation of the engine into the Mustang. “Conversion is the wrongful exercise of dominion over the property of another. The elements of a conversion are the plaintiff's ownership or right to possession of the property at the time of the conversion; the defendant's conversion by a wrongful act or disposition of property rights; and damages. [citations omitted.]” (<i>Plummer v. Day/Eisenburg, LLP</i> (2010) 184 Cal.App.4th 38, 50.) Here, the Complaint alleges that Elite Auto Service interfered with Plaintiff’s personal property by selling the Porsche Cayenne without consent and before completing the agreed upon work to install the engine into the Mustang and refusing to complete the agreed work upon and that Elite Auto Service damaged Plaintiff’s personal property by breaking parts on the engine and Mustang and by incorrectly installing the engine into the Mustang. (See Complaint, ¶¶ 32 and 33.) The Complaint, however, alleges that the agreement was for Elite Auto Service to install the engine into the Mustang “in exchange for the Cayenne as payment to Elite Auto Service” and that Plaintiff fully performed all of his duties and obligations under their oral agreement. (See Complaint, ¶¶ 9
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		and 19.) It appears that Plaintiff left the Cayenne with Elite Auto Service as part of the oral agreement between the parties and as payment for Defendant’s services. As such, it does not appear that Defendant “converted” the Cayenne. Further, although Plaintiff contends in Opposition that transfer of ownership to the Porsche was to occur <i>after</i> the proper engine installation of the Mustang, the Complaint does not allege that is what the parties agreed to as part of their oral agreement. As such the demurrer to the third cause of action is SUSTAINED with leave to amend. Cause of Action 4: Violation of Penal Code § 496 Penal Code § 496(a) provides “Every person who buys or receives any property that has been stolen or that has been obtained in any manner constituting theft or extortion, knowing the property to be so stolen or obtained, or who conceals, sells, withholds, or aids in concealing, selling, or withholding any property from the owner, knowing the property to be so stolen or obtained” is subject to incarceration. “A plaintiff may recover treble damages and attorney’s fees under section 496(c) when property has been obtained in any manner constituting theft.” (<i>Siry Investment, L.P. v. Farkhondehpour</i> (2022) 13 Cal.5th 333, 361.) Here, Plaintiff’s opposition asserts that ownership of the Porsche was never transferred and thus the sale was conversion and theft, the damage to the Mustang and engine are conversion, and that the Defendant will not turn over the items until Plaintiff signs a release. However, the allegations as to the ownership of the Porsche at the time of the sale and the allegations as to Defendant’s refusal to release the engine and the Mustang are not found in the Complaint. Further, Plaintiff provides no legal argument or authority for the idea that the damage done to the engine and Mustang constitute theft. As such, the demurrer to the fourth cause of action is SUSTAINED with leave to amend. Cause of Action 5: Declaratory Relief Defendant argues that the claim for declaratory relief fails as Plaintiff has not to pled any facts to show how declaratory relief would prevent harm, as declaratory relief operates prospectively to settle controversies before they escalate, per <i>Travers v. Loudon</i> (1967) 254 Cal.App.2d 926, 931. Here,
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		Plaintiff's claim for declaratory relief requests the court determine the terms of the contract; however such relief is accompanied by a number of other claims based on alleged breach of those terms. Where there is an accrued cause of action for an actual breach of contract or other wrongful act, declaratory relief may be denied. (<i>Osseous Technologies of America, Inc. v. DiscoveryOrtho Partners LLC</i> (2010) 191 Cal.App.4th 357.) Plaintiff has already brought a breach of contract claim, and there are no allegations that the rights and obligations of the parties need to be determined to avoid any future breaches. As such, the demurrer to the fifth cause of action is SUSTAINED with leave to amend. Cause of Action 6: Injunctive Relief Defendant argues that the request for injunctive relief is a remedy rather than a cause of action. Plaintiff asserts he will soon file a request for preliminary injunction. However, the cause of action itself appears to be based on Business and Professions Code § 17200 et seq. It is unclear whether this cause of action is actually a claim for injunctive relief or whether it is a claim for Unfair Competition. As such, the demurrer to the sixth cause of action is SUSTAINED with leave to amend. <u>II. Motion to Strike</u> Given the ruling on the above demurrer, the Motion to Strike is MOOT. Moving party is ordered to provide notice of these rulings.
12	30-2023-01311699 Chavez vs. Walker	Continued to 12/4/23